RBI - OFFICIAL REGULATORY DIRECTION

Framework for Compromise Settlements and Technical Write-Offs of Stressed Assets

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Chapter 1: Operational Compliance Guidelines (DOC_028)

Section 2: 12-Month Minimum Cooling Period After Compromise Settlement

2.1 Mandatory Cooling Period for Fresh Exposures
In respect of borrowers (other than farm credit) subject to a compromise settlement where the lender has accepted less than full contractual dues, there shall be a mandatory cooling period determined by the Board?which shall in no case be less than 12 months?before the Regulated Entity can assume any fresh credit exposure to that borrower.

2.2 Approval Authority Delegation Rule
Any compromise settlement or technical write-off proposal must be approved by an official or committee at least one level higher in hierarchy than the authority that originally sanctioned the credit exposure.

Chapter 3: Operational Compliance Guidelines (DOC_028)

Chapter 4: Operational Compliance Guidelines (DOC_028)

Chapter 5: Operational Compliance Guidelines (DOC_028)